

HOW DO WE USE IT?

DETERMINING TARGETS

We can use trendlines to determine the price target of trades that we are involved in. For instance, if we long an asset, we can use the resistance level based on trendlines as the price target. If we short an asset, we can use support levels as the target price where we aim to book profits. This is because there is a good chance that there might be a reversion at these levels and we might lose out on the profits. The final decision depends on the strategy that we have created for an entry and exit signal.



BREAKOUTS

The next use of trendlines is to accept new trades based on breakouts. Whenever the asset price breaks out of the support or resistance, we can say that the trend should be expected to continue. The reason for this is the fact that whenever a breakout takes place, the momentum in the price has to be enough to overcome the resistance or support level and once that has been done, we can expect the price to move further along as the opposition strength has also gone down after the breakout. We will enter trades based on these breakouts in a manner very similar to the trades that we had been entering based on chart patterns.